

CH – 1 ACCOUNTING FUNDAMENTALS

(B) DOUBLE ENTRY BOOK – KEEPING SYSTEM

Home Assignment – 6 [Introduction to double entry book keeping]

1. Maintenance of motor vehicle is an account of following element:

(a) Expenses	(b) Assets
(c) Liabilities	(d) Income

2. Computer equipment is an account of following element:

(a) Expenses	(b) Assets
(c) Liabilities	(d) Income

3. Which of the following account relates to statement of profit or loss:

(a) Trade Receivables	(b) Drawings
(c) Sale of goods	(d) Interest payable

4. Double entry book keeping system means:

(a) Entry in two books (primary and secondary)
(b) Entry at two different time (during the period and at end of period)
(c) Entry of two aspects of transaction
(d) None of the above

5. The investment of cash into business by its owner results in a/an

(a) Increase in cash
(b) Increase in capital
(c) Increase in both cash and capital
(d) Decrease in both cash and capital

6. A business has the following items in its statement of financial position:

- Land	Rs. 1000,000
- Machinery	Rs. 20,000
- Cash	Rs. 10,000
- Loan	Rs. 500,000

-Owner's equity will be:

(a) Rs. 500,000	(b) Rs. 1,000,000
(c) Rs. 530,000	(d) Rs. 1,030,000

7. Purchase of machinery for cash
- | | |
|--------------------------------------|----------------------------------|
| (a) Increases total assets | (b) Decreases total assets |
| (c) Increases assets and liabilities | (d) Keeps total assets unchanged |
8. Which of the following statements are correct:
- i) Drawings always decreases Owner's equity in the business.
 - ii) As per "Business Entity Concept", business is not considered separate from its owners.
- Select the most appropriate answer.
- (a) Only (i) is correct
 - (b) Only (ii) is correct
 - (c) Both are correct
 - (d) None are correct
9. Which of the following statements are correct:
- iii) General journal is a book used to record transactions.
 - iv) General ledger is a book used to prepare financial statements.
- Select the most appropriate answer.
- (a) Only (i) is correct
 - (b) Only (ii) is correct
 - (c) Both are correct
 - (d) None are correct
10. Which of the following statements are correct:
- (i) Equity is the residual interest in the assets of the business after deducting all liabilities.
 - (j) Equity can be defined as amount invested into the business by its owners plus retained profits.
- Select the most appropriate answer.
- (a) Only (i) is correct
 - (b) Only (ii) is correct
 - (c) Both are correct
 - (d) None are correct
-